rupees in 2021 alone and continues to do so. Public debt is projected to have risen from 94 per cent of GDP in 2019 to 119 per cent of GDP in 2021.

The IMF now calls Sri Lanka's debt "unsustainable" and rollover risk "very high". The treasury must pay back around $7 billion of foreign debt per year, requiring access to very large amounts of external financing at concessional rates and long maturities, sustained over many years.

Prices are skyrocketing. The first sharp increase in food inflation took place in June last year, when it rose from 9.9 to 11.3 per cent. It kept climbing thereafter till it hit 25.7 per cent in February.

The central bank unofficially pegged the dollar at 200-203 rupees in October 2021. It finally let go on March 7 and the local currency continues to plummet (currently close to 300 to the dollar). The price of cement, container transport, bread, wheat flour, air tickets and phones shot up overnight. That of staples like lentils and sugar has climbed several times. Medicine prices were revised. And this week, tariff increases were requested for telecommunications, electricity, water and railways. Buses have already hiked fares.

The worst surges have been in fuel. On March 12, the state-run oil and gas entity pushed up the price of petrol by 43.5 per cent and diesel by 45.5 per cent, both record highs.

Remittances slumped to a 10-year low of $5.49 billion in 2021 as workers chose unofficial channels that earned them more cash to the dollar. The rupee depreciation was expected to reverse this trend; it hasn't quite done that. The kerb market is thriving. And revenues still won't be enough to bolster reserves to meet debt repayments ($6.9 billion this year). The immediate worry is a $1 billion international sovereign bond maturing in July.

Economists agree it will get worse before it improves. The IMF painted a dismal economic picture and recommended drastic cuts to government spending, the raising of corporate, personal income and value added taxes, the minimising of tax exemptions and of ensuring greater contributions from high-income earners.

It is still not clear what the Rajapaksa administration will do. On social and mainstream media, there is growing fury that the government seems to neither care nor seen to be taking action. On March 16, the president said in a televised address that he was "well aware" of the shortages of essential items and increase in prices. But he also insisted that Sri Lanka was not the only country in the world affected by the prevailing crisis situation. "This crisis was not created by me," he said, reading stiffly from a teleprompter.

The government's main strategy has been to seek short-term bilateral borrowings to import essentials. India is one of the lenders. In January this year, the Reserve Bank of India announced a $400 million swap to help shore up Sri Lanka's reserves. The following month, the two countries signed a $500 million credit line for fuel purchases from India and a $1 billion credit line to import essentials, including food and medicine. Colombo has now sought an additional credit line of at least $1 billion from India, again to bridge the goods shortages.

Sri Lanka also negotiated swaps and credit lines with Bangladesh and China and is seeking more assistance from Beijing. On March 28, Indian foreign minister S. Jaishankar arrived in Sri Lanka on a well-publicised visit aimed at boosting New Delhi's Indian Ocean policy doctrine 'SAGAR' (Security and Growth for All in the Region).

During his two-day visit, however, it was not his meetings with President Rajapaksa or other key officials that garnered the most attention among the Sri Lankan public. It was his stop at a fuel station run by Lanka IOC, the subsidiary of Indian Oil Corporation, and his response to a Sri Lankan journalist's tweet that said scheduled surgeries at a hospital in the city of Peradeniya were being suspended owing to a shortage of medicines.

Responding with the hashtag #NeighbourhoodFirst, Jaishankar wrote: "Disturbed to see this news. Am asking High Commissioner Baglay to contact and discuss how India can help". The public reaction was immediate, with local social media commentators thanking the visiting foreign minister profusely for having shown more concern for the sufferings of Sri Lankans than their own government has done. None of the key ministers had visited queues to ask about the situation of ordinary people, they said. It took an Indian minister to do that. ■

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HELP FROM ACROSS THE STRAIT

- The RBI announced a $400 million currency swap to bolster Sri Lankan foreign exchange reserves
- New Delhi extended a $500 million credit line to Colombo for fuel purchases from India
- New Delhi also announced a $1 billion credit line to Lanka to import essentials
- During his visit to Sri Lanka, Indian external affairs minister S. Jaishankar announced the setting up of fishing harbours, a grant for Lanka's Digital Identity Project, and support for schools in Galle
- India will set up three hybrid power projects in Sri Lanka, and a Maritime Rescue Coordination Centre will come up with a $6 million Indian grant